iv. Elimination of Middleman

A departmental store combines both the functions of retailing as well as warehousing. They purchase directly from manufacturers and operate separate warehouses. It helps in eliminating undesirable middlemen between the producers and the consumers.

v. Economies of Large Scale Operations

The Departmental stores are organised at a large scale i.e., buy goods in bulk, therefore they enjoy the benefit of special discount. In turn, the customers get their goods in quality and lower price.

Limitations

i. High cost of operations

A departmental store requires a large building with ample parking at a central place. It has to incur heavy expenditure on salaries, maintenance of building, customer services, advertising, etc. As a result, establishment and overhead cost of operations are very high.

ii. Higher prices

Due to high operating costs, prices of goods in a departmental store are comparatively high. Only rich persons can afford to buy goods at a departmental store.

iii. Distance

It is located at a central place of a city, away from people living in suburban areas have to travel a long distance to reach the store.

iv. Lack of personal touch

The management of a store finds it very difficult to maintain personal contact with the customers. The salaried staff may not take interest in securing the satisfaction and goodwill of the customers

v. Difficult to establish

A large amount of capital investment and a large number of specialised persons are required to establish a departmental store.

vi. High risk

Due to central location and large scale operations, risk of loss is very high

Change in tastes and fashion and market fluctuations may lead to heavy loss.

2. Chain Stores or Multiple Shops

A number of identical retail shops with similar appearance normally deal in standardised and branded consumer products established in different localities owned and operated by manufacturers or intermediaries are called as Chain stores or Multiple shops. In USA, these are known as chain stores but these are popular as multiple shops in Europe. They deal only in particular line of product and specialise in the same. Many such shops are in India. For example : Bata.



Commerce 16-25.indd 238 10/12/2022 16:33:23